

TENTATIVE RULING FOR JUNE 11, 2026

Department R12 - Judge Kory Mathewson

Zhuoheng Gu v. Phoebe Yifen Tsai, et al – CIVRS2501899

Motion: Demurrer to Complaint

Movant: Defendant Phoebe Tsai

Respondent: Plaintiff Zhuoheng Gu

RULING: Demurrer is **OVERRULED** as to the 1st Cause of Action; Demurrer is **SUSTAINED**, with Leave to Amend within 45 days, as to the 2nd Cause of Action.

Defendane Tsai - to provide Order(s) and give Notice.

First Cause of Action for Breach of Contract

Tsai first raises a purported discrepancy over the rental receipt attached to the complaint showing the lease was from--or rather that the payment was to cover--12/15/24 to 1/5/25. The mere fact that the lease states the rental term was from 12/20/24 to 3/31/25 is not necessarily inconsistent with the receipt because rent was due monthly per the lease (see Lease at ¶ 3) and the period covered by the payment was not for a complete month nor was it a complete rent payment, but an apparent prorated amount.

Thus, the exhibits merely show that Gu paid for part of the rent. Both documents otherwise tend to corroborate the existence of a rental agreement and the demurrer fails to show why the period referenced in the receipt, even if covering a period before the effective date of the rental period, undermines the existence of the contract, the alleged breach, or why the discrepancy is consequential at this stage. The issue can be flushed out during discovery. The complaint otherwise indicates the parties had a contract, Gu began making payments, and Defendants breached the agreement by evicting him. The exhibits attached to the complaint tend to support Gu's position.

Next, the demurrer indicates that the listing agreement for the sale of the property (which is also attached to the complaint) would not support the proposition that Faith Global had authority to execute a lease agreement on Tsai's behalf and the lease submitted is not signed by Tsai, only by Faith Global as Tsai's purported broker. While both facts may be true, they are not dispositive. Nothing on the face of the complaint or its exhibits undermine the suggestion in the lease agreement that Faith Global was acting as Tsai's broker in signing the agreement. Such an allegation of agency otherwise exists in the complaint. (Compl. at Breach of Contract Attachment, ¶ BC-1 [noting one of the defendants was the agent of the other for purposes of the lease].)

Furthermore, while not addressed by Tsai, the statute of frauds, which would require a signed instrument in writing, only applies as to an estate in property for a term exceeding a year. (Civ. Code., § 1091.) The lease in this case was for only a few months. Thus, no writing was needed at all for the contract to be enforceable. Overall, the demurrer fails to show why the allegations are insufficient to state a valid claim for breach of contract. Therefore, as to the first cause of action, the demurrer is overruled.

Second Cause of Action for Fraud

The elements of fraud that will give rise to a tort action for deceit are “(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974.)

The elements of promissory fraud are: (1) a promise made regarding a material fact, (2) promisor’s lack of any intention to perform at time of making the promise, based upon either specific factual circumstance beyond breach of contract or inferring a contemporaneous intent not to perform, (3) the promise was made with intent to deceive or with intent to induce the party to whom it was made, (4) party to whom promise made relied upon said promise, (5) the party making the promise did not perform, and (6) the party to whom the promise was made was injured. *Regus v. Schartkoff* (1958) 156 Cal.App.2d 382, 389; *Behnke v. State Farm General Ins. Co.* (2011) 196 Cal.App.4th 1553, 1453.)

The facts that constitute the fraud must be alleged fully, factually, and specifically. (*Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331.) The particularity requirement necessitates the pleading facts that show how, when, where, to whom and by what means the representation was tendered and pleading specifically the detriment proximately caused by the defendant’s conduct. (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 73; *Service of Medallion, Inc. v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1818.)

In this case, the second cause of action is labeled as one for intentional misrepresentation, but such a claim involves a false representation of fact as opposed to a false promise. (Compare CACI 1902 [false promise] to CACI 1900 [intentional misrepresentation].) The claim appears to instead arise from the false promise to rent the property. (Compl. at Fraud Attachment.) Ignoring the label, the complaint indicates that on December 15, 2024, Tsai and Faith Global made the agreement to rent the property in exchange for money, with the address identified.

As for the “where” and “how,” the Complaint references an “agreement” that was made. It is not clear if Gu is referencing some oral agreement or the written agreement attached to the complaint, but regardless the contract submitted is dated and executed December 14 and the complaint suggests the misrepresentations occurred on December 15, though using “on or about” allegations. Moreover, the cause of action does not reference or incorporate the exhibit nor are the prior allegations related to the breach of contract claim incorporated into the fraud cause of action. Thus, from the face of the cause of action itself it is unclear how and where the false promise or misrepresentations were made.

Furthermore, to the extent the fraud is based on the false promise made within the written agreement, that document, as noted above, was not signed by Tsai. The prior allegations, such as those related to the broker relationship, are also not incorporated into the second cause of action nor does the claim explain how or why Tsai could be liable for Faith Global’s fraud in executing the contract. The written contract, which on its face suggests that Faith Global was Tsai’s broker, is also not referenced in the cause of action, such as by exhibit. To the extent there was some separate oral promise, that is not clearly alleged nor indicate where the agreement was made.

Given the reference within the claim to “misrepresentation” as opposed to a false promise, the failure to incorporate the prior allegations or specifically reference the exhibit agreement within the second cause of action, and given the resulting absence of particular facts addressing the “how,” “where,” or by “what means,” the demurrer is sustained as to the second cause of action, with leave to amend within 45 days.

Dated: June 11, 2026

Judge Kory Mathewson

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Motions: (1) Motion to Deem Truth of Matter Asserted; Sanctions
(2) Motion to Compel Responses to Special Interrogatories, Set One; Sanctions
(3) Motion to Compel Responses to Request for Production of Documents, Set One; Sanctions
(4) Motion to Compel Responses to Form Interrogatories, Set One; Sanctions

Movant: Defendant, Phoebe Yifen Tsai

Respondent: Plaintiff, Zhuoheng Gu (No Opposition)

RULING: Motions (1-4) are GRANTED. Responses, without objections, are due within 45 days of this order. Sanctions are GRANTED ($4 \times 450 = \$1,800$; plus $60 \times 4 = \$240$) in the total amount of \$2,040.00, due within 45 days.

Defendant - to provide Order(s) and give Notice.

On November 17, 2025, Defendant served (1) Requests for Admissions, Set One; (2) Special Interrogatories, Set One; (3) Request for Production of Documents, Set One; and (4) Form Interrogatories, Set One. Plaintiff did not serve any discovery responses nor did Plaintiff ever communicate with Defendants office. On January 7, 2026, Defendant followed up and reminded Plaintiff about the aforementioned discovery requests. Plaintiff has not responded.

Plaintiff has not filed any oppositions. Therefore, Defendants Motions (1-4) are granted. Responses, without objections, are due within 45 days of this order. Defendant also seeks sanctions for 1 hour per motion at the rate of \$450/hr plus filing fees of \$60 per motion. Sanctions are granted ($4 \times 450 = \$1,800$; plus $60 \times 4 = \$240$) in the total amount of \$2,040.00, due within 45 days.

Dated: June 11, 2026

Judge Kory Mathewson